



Intangibles Value Advisory Report

The M&A and Exit Valuation Guide

Prepared for founders and owners preparing for a sale or succession who need to formally evidence their hidden value before buyer due diligence begins.

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Important notice: This report is general guidance based on assessment responses. It is not a valuation report, investment advice, legal advice, tax advice, or a commitment to support fundraising. Bain Squared does not guarantee funding, investor interest, valuation uplift, or transaction completion. Formal advice requires a separate engagement and review of source documentation.

Your Assessment Summary

Based on your responses, you are preparing for a sale, exit, or succession event. Buyers are financially incentivized to find reasons to discount your price. To defend your valuation, you must formally document your brand, contracts, IP, and systems before due diligence begins. This guide explains how to prepare your evidence.

Section 01

Do not let buyers define the value of what you built.

When you prepare to sell a business, bring in a strategic investor, or plan for succession, you are entering a negotiation where the other side is trained to test every claim you make about value. That is not bad faith. It is how disciplined buyers behave.

Most founders and owners know their revenue, EBITDA, gross margin, and customer pipeline. What they often cannot prove is the value of the assets that make those numbers repeatable. Brand preference, customer relationships, proprietary workflows, software, data, contracts, and technical know how may be doing a large part of the commercial work, but buyers will not pay for them simply because they are mentioned in a management presentation.

This guide explains how to document the hidden value in your business before due diligence begins, so your valuation story is supported by evidence rather than negotiation pressure alone.

Section 02

The problem with a single multiple

When a founder says the business is worth 5x EBITDA, they are using a financial multiple. That multiple is useful. It anchors the discussion in market practice, comparable transactions, growth expectations, and risk appetite. But it does not tell the full story of why one business deserves a premium and another does not.

A single multiple usually captures what shows up in the income statement. It reflects profit, growth, margin profile, and market comparables. It does not automatically capture the brand that allows you to charge more than competitors, the customer relationships that reduce churn, the long term contracts that make revenue more predictable, or the proprietary systems that lower cost to serve.

These are intangible assets. They are not abstract. They are the reasons revenue is defensible, margins are repeatable, and customers stay. In an exit process, the issue is not whether these assets exist. The issue is whether they can be identified, evidenced, and valued in a way that survives buyer scrutiny.

The approach Bain Squared uses is a sum of parts valuation. The financial valuation captures the operating business. The intangible asset valuation captures the additional layer of value that sits behind the numbers. A business valued at 3x EBITDA on financial performance alone may support a stronger valuation when brand, customer relationships, technology, IP, and contract strength are separately documented and valued using recognised methodologies.

Example

Two companies can report the same revenue and margin, but one has weak retention, no brand recognition, ad hoc processes, and limited customer documentation. The other has high renewal rates, pricing power,

registered IP, and repeatable systems. A single multiple may treat them as similar. A serious investor will not. A properly prepared valuation report gives that difference structure.

Section 03

Why Discover Value Before You Need It?

Undocumented value is usually treated as unsupported value. That becomes a problem when the company enters a fundraising process, M&A discussion, bank financing review, shareholder conversation, or strategic planning cycle where valuation suddenly matters.

By the time a transaction is live, there is rarely enough time to build the evidence properly. Buyers and investors will ask for customer data, brand evidence, contract quality, technology documentation, IP ownership records, and financial linkage between the asset and commercial performance. If that evidence has not been gathered, the conversation becomes defensive. The business may still have value, but the valuation case becomes harder to prove.

Mapping intangible assets early gives management a sharper view of where value is actually being created. If customer relationships are the strongest asset, then retention, renewal quality, and concentration risk should be tracked more carefully. If proprietary software is the asset, then documentation, usage data, replacement cost, and productivity impact matter. If brand is the asset, then customer preference, pricing power, awareness, and reputation signals need to be measured instead of assumed.

This changes how the business is managed. The exercise is not only for future valuation reports. It helps founders and management teams decide where to invest, which assets to protect, what evidence to preserve, and which parts of the business deserve more strategic attention.

Section 04

What Good Evidence Looks Like.

Strong intangible asset evidence connects the asset to commercial outcomes. The table below sets out the main categories Bain Squared would typically review during an intangible asset discovery exercise.

Asset Type	What You Should Start Tracking
Brand	Customer survey data, Net Promoter Scores, brand recognition indicators, referral sources, and evidence that you can charge a premium over competitors.
Customer relationships	Churn rates, repeat purchase data, customer concentration, account expansion, customer tenure, and renewal behaviour.
Recurring revenue	The percentage of revenue that comes from subscriptions, retainers, recurring contracts, automatic renewals, or repeat customer behaviour.
Software and technology	Documentation of internal tools, product systems, and measurable cost or time savings compared with manual alternatives.
IP, trademarks, and know how	Registration certificates, licence agreements, proprietary methods,

	technical documentation, evidence of active use, and ownership records.
Contracts	Signed agreements, contract value, renewal terms, exclusivity rights, customer quality, contract length, and termination provisions.

Section 05

Your specific opportunity

In a live M&A process, the buyer will usually anchor on the most conservative financial view they can defend. If your intangible assets are only explained verbally, they become easy to discount. You must structure the evidence before diligence begins.

That instinct may be right, but it needs structure. In a live process, the buyer will usually anchor on the most conservative financial view they can defend. They may normalise EBITDA, challenge revenue quality, apply a discount for customer concentration, or exclude value drivers that are not properly evidenced. If your intangible assets are only explained verbally, they become easy to discount.

When founders enter a process prepared, the conversation changes. The buyer sees a valuation report that separates the financial component from the intangible asset component. Each asset is supported by evidence. The methodology is explained. The value bridge is visible. The total enterprise value is substantiated, not asserted.

This does not guarantee a higher offer. No valuation report can do that. But it gives the seller a stronger basis to defend value, respond to buyer pushback, and enter negotiations with a clearer understanding of what has actually been built.

Section 06

What to Do Next.

Step 1

Build your asset map.

List every asset your business has built that does not show up clearly in your financial statements. Start with brand, customer relationships, software, data, intellectual property, contracts, and repeatable operating processes.

Step 2

Gather existing evidence.

Pull together customer data, renewal records, technical documentation, brand materials, contract files, IP registrations, pricing history, and process documentation.

Step 3

Identify the strongest valuation candidates.

Look for assets that clearly influence revenue, margin, customer retention, pricing power, operational efficiency, or competitive defensibility. These are the assets most likely to matter in a future valuation discussion.

Section 07

Ready to defend your exit valuation?

We will review your asset map, identify which intangibles are most likely to add to your valuation story, and scope the formal valuation work needed before you enter negotiations. Book a call with Bain Squared [here](#).